

A private equity firm acquires a company at an **Enterprise Value (EV) of ₹1,000 crore**. At acquisition, the company has **Net Debt of ₹200 crore**. The deal is financed with **60% debt and 40% equity**.

The company generates **EBIT of ₹180 crore**, **D&A of ₹40 crore**, **Capex of ₹50 crore**, and **no change in working capital**. The **tax rate is 25%**. All free cash flow is used to repay debt.

After a **5-year holding period**, the company exits at an **EBITDA multiple of 8×**. At exit, **EBITDA is ₹250 crore**.

ANSWERS

- Equity Invested at Entry: 400 crore
- Annual Free Cash Flow: 125 crore
- Net Debt at Exit: 0 crore
- Exit Enterprise Value: 2,000 crore
- Exit Equity Value: 2,000 crore
- Money Multiple: 5.0×
- Internal Rate of Return (IRR): ~38%